

Who uses financial statement analysis?



Banks

Banks and other financial institutions involved in the lending business must understand a company's past performance. They need to determine whether a company can be lent money or not. For this, they rely on financial statement analysis. **Certain parameters, such as**

$$\text{Interest coverage ratio} = \frac{\text{Earnings Before Interest And Taxes}}{\text{Interest Expenses}}$$

$$\text{Debt Equity ratio} = \frac{\text{Total Debt}}{\text{Total Equity}}$$

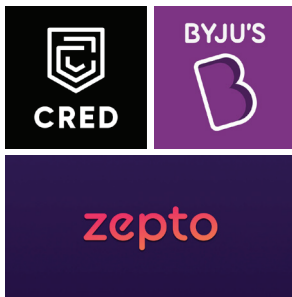
Sometimes, banks may offer a loan if the core health of the business is solid, even if it is not backed by enough assets. This generally happens when the company is generating enough cash.



Asset Volume

Private Equity/Venture Capital:

Investment decisions by private equity players are also based on financial statement analysis. However, this is a little tricky as there is not enough past data.



Private equity investing in startup company's can become a challenging task since the financials would change dramatically.



Reliance
Industries Limited

Relatively old companies have more operating history to show and are relatively more stable as well.